

As we saw earlier that fixed deposits are like lending money to the bank. Therefore, it is important to check the health of the bank or company before we give/lend them the money. The nationalized banks and larger established companies would be accepting deposits at 5-6%. At the same time, small banks, co-operative banks, private players like Big Bazaar would be offering 8-9% for the same deposit. In all these cases, we will opt for a nationalized bank with lower returns.

Co-operative banks, regional banks, rural banks are all unsafe and there have been many cases of these banks shutting down in the past. Those who offer a higher rate of interest do so to attract depositors. We do not want to keep our money with banks that face the risk of shutting down even if they offer higher interest rates. Remember, the objective of fixed deposits is the safety of capital rather than its growth. Also, with fixed deposits, we are dealing with short time horizons. So, a 2% difference for 2 years would not impact our ability to meet a goal.

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